



3.5 Assessing Competitiveness

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- * Interpretation of Financial Statements
- * Ratio Analysis
- * Human Resources



Using the statement of comprehensive income

- The **statement of comprehensive income** is also known as the **profit and loss account**
- It shows the **income** and **expenditure** of a business over a period of time — usually a year — and calculates the amount of **profit** made (see [sub-topic 2.3.1](#))

Example of a statement of comprehensive income for Head to Toe Wellbeing Ltd

	2022 (£)	2021 (£)
Revenue	124,653	121,791
Cost of Sales	18,922	22,646
Gross Profit	105,731	99,145
Administrative expenses	39,867	36,448
Operating Profit	65,864	62,697
Interest	2,043	2,952
Exceptional Costs	6,225	0
Profit for the year	57,596	59,745
Taxation	5,470	5,680
Profit for the year after tax	52,126	54,065

GROSS PROFIT =
REVENUE – COST OF SALES

OPERATING PROFIT =
GROSS PROFIT – EXPENSES

PROFIT FOR THE YEAR =
OPERATING PROFIT –
INTEREST & EXCEPTIONAL
COSTS

PROFIT FOR THE YEAR
AFTER TAX = PROFIT FOR
THE YEAR – TAX

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- The extract from the statement of comprehensive income for **Head to Toe Wellbeing Ltd** shows figures for both 2022 and the previous year, allowing **comparison over time**

Stakeholder interest in the statement of comprehensive income

- The profit and loss account is a very useful source of information for stakeholders to **evaluate the performance of a business**
 - **Shareholders**
 - Interested in profits earned, business growth and **dividend** payments
 - **Employees**
 - Interested in profits earned and potential for wage increases and job stability



- **Managers and directors**
 - Interested in key performance data, such as an improvement in sales revenue and net profit
- **Suppliers**
 - Interested in the continued success of the company that they are supplying
 - This information is also used by suppliers to determine the level of **trade credit** offered to businesses
- **Government**
 - Used to determine how much tax is payable
- **Local community**
 - Interested in the stability of the business and what this may mean for jobs in the community
 - Another interest is to see if the firm is generating enough profit to perhaps approach them for local sponsorship

Using the statement of financial position (balance sheet)

- The statement of financial position, sometimes called the **balance sheet**, contains the financial information required to draw conclusions about the **liquidity of the business**
 - Liquidity is the ability of a business to **meet its short-term commitments** (e.g. payments to creditors) with its available assets
 - A business that cannot pay its bills will usually **fail very quickly**, even if it is profitable
 - Managing liquidity is a key way to **manage risk** in a business and helps a business prepare for the unexpected
- The statement of financial position shows the **financial structure** of a business at a specific point in time
 - It identifies a business's **assets** and **liabilities** and specifies the **capital** (money) used to fund the business
 - The statement of financial position is also known as the **balance sheet**

Example of a statement of financial position for Packer Sports Ltd



Your notes

	£	£	NON-CURRENT ASSETS ARE ITEMS THAT ARE OWNED BY A BUSINESS FOR THE LONG-TERM. EXAMPLES INCLUDE MACHINERY AND BUILDINGS
Non-current Assets			
Vehicles	42,000		
Machinery	18,500	60,500	CURRENT ASSETS ARE ITEMS THAT ARE CONVERTED TO CASH QUICKLY – USUALLY WITHIN 12 MONTHS.
Current Assets			CURRENT ASSETS ARE COMPRISED OF CASH, TRADE RECEIVABLES AND INVENTORY
Inventory	8,250		
Trade Receivable	2,630		
Bank	4,080		
Cash	585	15,545	CURRENT LIABILITIES IS MONEY A BUSINESS OWES AND IS DUE TO BE SETTLED SOON – USUALLY WITHIN 12 MONTHS.
Current Liabilities			CURRENT LIABILITIES INCLUDE TRADE PAYABLES AND SHORT-TERM BORROWING SUCH AS A BANK OVERDRAFT
Trade Payables	3,960		
Bank Overdraft	1,100	5,060	
Net Current Assets		10,485	NON-CURRENT LIABILITIES IS MONEY A BUSINESS OWES AND THAT DOES NOT NEED TO BE PAID BACK FOR AT LEAST 12 MONTHS.
Non-current Liabilities			NON-CURRENT LIABILITIES INCLUDE BANK LOANS AND MORTGAGES
Mortgage		20,000	
Net Assets		50,985	NET ASSETS = ASSETS – LIABILITIES
Financed by			THE STATEMENT OF FINANCIAL POSITION SHOWS HOW THE NET ASSETS OF A BUSINESS ARE FUNDED.
Capital		16,595	IN THIS CASE THE BUSINESS IS FUNDED WITH A COMBINATION OF OWNERS CAPITAL AND PROFIT GENERATED BY THE BUSINESS.
Profit for the year		36,990	THE TOTAL FUNDING IS KNOWN AS THE CAPITAL EMPLOYED.
Less Drawings		2,600	NET ASSETS = CAPITAL EMPLOYED
Capital Employed		50,985	

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Stakeholder interest in the statement of financial position

- Stakeholders will use the statement of financial position **alongside the statement of comprehensive income** to perform **ratio analysis** and **compare performance over time** or with other businesses

How stakeholders use the statement of financial position



Your notes

Stakeholder	Interest in the statement of financial position
Shareholders	- Used to identify the asset structure of the business and how their investment has been put to use - Used to calculate the working capital of the business and determine its solvency - Used to determine the rough value of a business, which helps a judgement on whether their investment is growing
Managers and directors	- Used to identify the financial position of the business at a given point in time - Useful to assess the working capital position of the business and determine if there are enough liquid current assets to pay its bills - Provides information on the capital structure of the business, which helps guide decisions on whether to raise further funds through borrowing or via other means (e.g. share issue)
Suppliers and creditors	- Used to judge the solvency of the business to determine the risk when offering firms trade credit - Businesses with low levels of working capital may find it difficult to pay short-term debts, and so suppliers may offer trade credit, but with stricter terms
Employees	- Is the business financially stable, or are jobs at risk? - Has the business's performance improved or worsened? - What is the business spending its money on? - How much are senior executives paid? - How much tax is the business paying?



Examiner Tips and Tricks

Information found in the profit and loss account and the balance sheet can be used in a range of answers.

For example, if you are answering a question about sources of finance, you might be able to use the capital structure of the business to recommend whether a business should borrow or look at an alternative source.

If a business already relies heavily on borrowing, it may be more sensible to recommend seeking to raise more share capital.



Your notes



An introduction to ratio analysis

- Ratio analysis involves **extracting information from financial accounts** to assess **business performance** and answer key questions, including:
 - Why is one business more **profitable** than another in the same industry?
 - Is the business **growing**?
 - How effectively is the business **using its assets and capital** invested?
 - What **returns on investment** are expected?
 - How **risky** is the **financial structure** of the business?

Information extracted from the statement of comprehensive income and the statement of financial position for ratio analysis

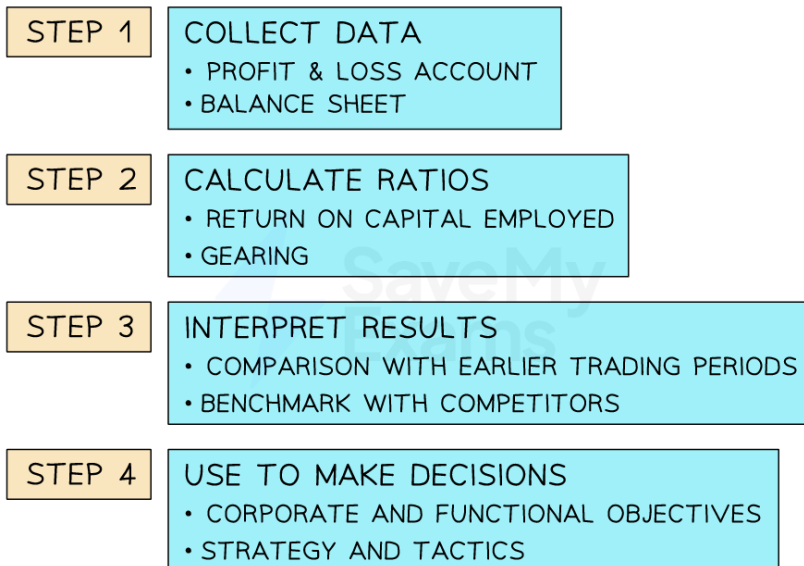
Statement of comprehensive income	Statement of financial position
- Revenue - Cost of sales - Gross profit - Operating profit - Profit for the year (net profit)	- Current assets - Current liabilities - Inventory (stock) - Trade receivables - Trade payables - Long-term liabilities - Capital and reserves

- Ratio analysis supports evidence-based decision-making, as it **provides measurable data** that can be used to **support judgements** and **compare performance** against objectives

The ratio analysis process



Your notes



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The ratio analysis process involves collecting data, calculating ratios, interpreting results and then using results to make decisions

Types of ratios

Gearing ratio

- The gearing ratio shows the **long-term financial structure** of the business
 - It shows the balance of **non-current liabilities** (e.g. long-term loans) to **shareholder capital** used to fund a business
 - The outcome is expressed as a **percentage**
- The gearing ratio is calculated using the formula

$$\text{Gearing Ratio} = \frac{\text{Non Current Liabilities}}{\text{Capital Employed}} \times 100$$

- **Capital employed** can be calculated by adding non-current liabilities to total equity



Worked Example

The table shows an extract from the company accounts of *Keals Cosmetics*.

Current Assets	£6.2 million
Current Liabilities	£3.4 million
Non-current Liabilities	£9.6 million

Capital Employed	£43.3 million
------------------	---------------



Your notes

Calculate the gearing ratio of *Keals Cosmetics*.

(2)

Step 1: Identify the data required to calculate the gearing ratio

- Non-current liabilities = £9.6 million
- Capital employed = £43.3 million

Step 2: Divide non-current liabilities by the capital employed

$$= \text{£}43.3 \text{ million} \div \text{£}9.6 \text{ million}$$

$$= 0.22$$

(1)

Step 3: Multiply the outcome by 100, and express the result as a percentage

$$= 0.22 \times 100$$

(1)

$$= 22\%$$

- 22% of Keals Cosmetics' capital structure is made up of long-term loans

Return on capital employed (RoCE)

- The return on capital employed is also known as the **primary ratio**
- It compares the **profit** made by a business to the amount of **capital invested** in the business
- It is a measure of **how effectively a business uses the capital invested** in the business to **generate profit**
- Return on capital employed is a **key performance indicator** that can be **compared over time** and also with **competitors** and with **other potential capital investments**
- Return on capital employed is expressed as a percentage and can be **calculated using the formula**

$$\text{Return on Capital Employed} = \frac{\text{Operating Profit}}{\text{Capital Employed}} \times 100$$



Worked Example

The table shows an extract from the company accounts of *Keals Cosmetics*.

Current Liabilities	£1.5 million
Revenue	£7 million

Total Assets	£15.4 million
Operating Profit	£2.2 million



Your notes

Calculate Keals Cosmetics' return on capital employed.

(3)

Step 1: Calculate the capital employed

$$\begin{aligned}
 &= £15.4\text{m} - £1.5\text{m} \\
 &\quad (1) \\
 &= £13.9\text{m}
 \end{aligned}$$

Step 2: Divide the operating profit by the capital employed

$$\begin{aligned}
 &= \frac{£2.2\text{m}}{£13.9\text{m}} \\
 &\quad (1) \\
 &= 0.16
 \end{aligned}$$

Step 3: Multiply the result by 100, and express the outcome as a percentage

$$\begin{aligned}
 &= 0.16 \times 100 \\
 &\quad (1) \\
 &= 16\%
 \end{aligned}$$

- The **capital employed** in Keals Cosmetics has **generated a return of 16%**

Interpreting ratios to make business decisions

Gearing ratio

- The gearing ratio is used to examine the **capital structure** of a business
- It compares the amount of **capital raised from shareholders** with **capital raised from loans** and other forms of long-term borrowing to show the **proportion of business assets that are financed by long-term borrowing**
- In short, it shows how **reliant** a business is upon **borrowed money**

Highly geared business

- In a **highly geared** business, **more than 50 per cent** of its capital employed are **long-term loans**
 - The outcome of the gearing ratio calculation will be greater than 50 per cent
 - Substantial levels of interest will need to be paid on this high level of borrowing, which means:



- The level of profit available to pay as dividends to shareholders is reduced
- Profit available to retain within the business is limited
- The business is likely to be considered a risk for further investment
- It is also likely to face difficulties in raising further loan capital

Steps to reduce gearing

- A highly geared business may take steps to lower its ratio by:
 - Issuing more ordinary shares to create further share capital
 - Retaining more profits to avoid further borrowing
 - Repaying loans to lower interest costs for the business

Low geared business

- A **low-geared** business has **less than 50 per cent** of its capital employed as **long-term loans**
 - The outcome of the gearing ratio calculation will be less than 50 per cent
 - The business **may be missing out** on the opportunity **to access finance** without the need to dilute existing shareholders' control
 - This is especially true **when interest rates are very low**, as has been the case in the UK over the last 15 years
 - Lenders, such as banks, are **more likely to approve loan applications** from low-geared businesses
 - An **unwillingness to access loan capital** may indicate a **risk-averse** business, which **may deter investors**

Steps to increase gearing

- A low-geared business may take steps to increase its ratio by:
 - Buying back **ordinary shares** to reduce share capital in relation to borrowing
 - Issuing more preference shares with limited loss of control
 - **Obtaining more loans**



Worked Example

Catseye Pressings Ltd is considering making an application for a long-term loan to purchase a new storage facility.

The table shows extracts from its balance sheet.

Non-current Assets	£16.40m
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Current Assets	£3.62m
Current Liabilities	£2.18m
Non-current Liabilities	£5.75m



Your notes

Calculate Catseye Pressings Ltd's gearing ratio, and advise whether an application for a loan is likely to be approved on this basis.

(5)

Step 1: Calculate the capital employed

$$= (£16.40\text{m} + £3.62\text{m}) - £2.18\text{m}$$

$$(1)$$

$$= £17.84\text{m}$$

Step 2: Apply the formula to calculate gearing

$$= \frac{£5.75\text{m}}{£17.84\text{m}} \times 100$$

$$(1)$$

$$= 32.23\%$$

Step 3: Identify whether the loan application is likely to be approved

- The loan application is likely to be approved (1) as Catseye Pressings Ltd is a low-gear business and thus a relatively low risk (1) to lenders.

Interpreting return on capital employed (RoCE)

- RoCE measures how well a business **generates profit** from the **funds invested** in the business
- The rate **differs between industries**, so comparison across sectors is not recommended
- However, it can be compared with other forms of return, such as **interest rates on savings** and with other businesses within the **same industry**
- RoCE can be used to support **strategic decisions** (e.g. investment or divestment decisions) to determine the most profitable option given the level of capital employed
- With RoCE, **the higher the rate, the better**, as it indicates that the business is **profitable** and **using its capital efficiently**
 - Investors prefer businesses with **stable and rising** levels of RoCE, as this indicates **low-risk growth** is being achieved
 - A ROCE of **at least 20 per cent** is usually a good sign that the company is in a good financial position
- To increase the RoCE level, a business can:
 - **increase the level of profit** generated **without introducing new capital** into the business

- maintain the level of profit generated whilst reducing the amount of capital in the business



Your notes



Worked Example

Faced with increasing costs, *Kent & Medway Properties Ltd* is looking to close one of its three high street estate agency branches.

The table below shows some key data for each of the branches.

Branch	Capital Employed	Operating Profit
Sevenoaks	£2.4m	£0.37m
Whitstable	£3.1m	£0.57m
Rochester	£2.9m	£0.51m

Calculate the return on capital employed (RoCE) for each branch, and recommend which branch, on profitability terms, should close.

(5)

Step 1: Apply the formula to calculate the RoCE for each branch

$$\text{Return on Capital Employed} = \frac{\text{Operating Profit}}{\text{Capital Employed}} \times 100$$

$$\text{Sevenoaks} = \frac{\text{£ } 0.37 \text{ m}}{\text{£ } 2.4 \text{ m}} \times 100 = 15.42\%$$

(3)

$$\text{Whitstable} = \frac{\text{£ } 0.57 \text{ m}}{\text{£ } 3.1 \text{ m}} \times 100 = 18.39\%$$

$$\text{Rochester} = \frac{\text{£ } 0.51 \text{ m}}{\text{£ } 2.9 \text{ m}} \times 100 = 17.59\%$$

Step 2: Identify the least profitable branch for closure

- Sevenoaks is the least profitable branch, (1) with a RoCE of 15.42%, (1) and should be the branch selected for closure



Examiner Tips and Tricks

When calculating financial ratios, check that you are using the correct units.

In some cases, financial data is presented as raw figures (e.g. £14,520), but in most cases, you will be working in thousands (£000) or millions (£m).

- Ensure that you convert correctly, e.g. £0.39m is equal to £390,000, and £34.9 (000) is equal to £34,900
- Make sure the decimal is in the correct place
- Calculate to two decimal places unless stated otherwise



Your notes

The limitations of ratio analysis

- There are some drawbacks of using ratio analysis, which businesses need to be aware of

Limitations of ratio analysis

Limitation	Explanation
Making comparisons	▪ It is important to compare like for like ▪ Over time, the nature of a business can change, affecting the desired level of ratio ▪ E.g. A business may diversify into a less competitive industry where higher levels of RoCE may be expected ▪ Comparisons between firms are only meaningful where significant similarities exist (e.g. same industry, similar size, comparable products) ▪ E.g. a high street jewellery business will have very different working capital needs to those of a fast food outlet, and their profit margins will differ
Quality of accounts	▪ Accounts may have been legally window dressed (manipulated) to present a particular financial picture. ▪ Examples of this include: ▪ Bad debts can be written off ▪ Property can be revalued ▪ Income and costs may be reported during an earlier or later reporting period (e.g. payments to suppliers may be delayed to maximise the level of current assets) ▪ Window dressing will have an impact on the quality of ratio analysis calculations



Your notes

Statement of financial position limitations	■ As a "snapshot" of a business's assets, liabilities and capital at a specific point of time, the balance sheet may not be representative of its usual circumstances ■ E.g. a balance sheet may be completed one day before a business sells a large amount of stock or buys a new property, rendering current and non-current assets figures invalid almost immediately
Qualitative information	■ As ratios only use numerical data from a business's accounts, key qualitative factors that affect its performance are ignored ■ E.g. the collapse of a competitor may lead to increased sales revenue and profit ■ Increased profit increases the RoCE without any strategic decisions being made

- Despite these limitations, ratio analysis is **used by a wide range of internal and external analysts** to assess the performance of companies
 - **Venture capitalists** and other investors use ratios to support their analysis when they consider **investing in** or **lending to** businesses
 - **Banks** and **insurance providers** will use ratios to determine the **level of risk** a business presents and determine the products to which it may be suited
 - **Investment analysts** and **journalists** make use of ratio analysis to **report to clients and the media** in easy-to-digest terms



Examiner Tips and Tricks

Calculating ratios is straightforward — the real skill is in the interpretation of results and making recommendations.

If a business is highly geared, further borrowing is likely to be neither attractive nor possible in most cases. That's quite a simple analytical point.

However, it may be possible to further develop this analysis.

For example, in a time of very low interest rates, maximising borrowing to take advantage of cheap finance may be preferable to diluting the control of existing shareholders by issuing further share capital. Now you have an evaluation because you've considered both sides of the argument.

If you find evidence in the case study that indicates that shareholders would be unhappy with this dilution of control, then you have a balanced, applied piece of evaluation.



An introduction to human resources

- In common with all resources, a business's **employees** — its human resources — need to be managed
- Staff costs can make up a large proportion of a business's costs, so **objective monitoring** of employee performance is a key element of effective **financial** and **operational control**
- Businesses commonly monitor the following **human resources metrics**:
 - Labour productivity
 - Labour turnover
 - Labour retention
 - Absenteeism

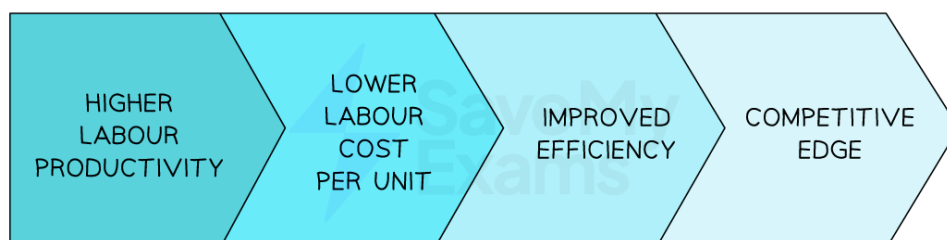
Labour productivity

- Labour productivity is a measure of **output per employee**
- It is calculated using the formula

$$\text{Labour Productivity} = \frac{\text{Total Output}}{\text{Average number of employees}}$$

- Figures used in this formula are for a **specific time period** (e.g. a week, month or year)
- Businesses aim to **increase the level** of labour productivity to **improve competitiveness**

Labour productivity and competitiveness



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Higher labour productivity improves businesses' competitiveness



Worked Example



Your notes

Last year, *Marinka Homewares* made 424,000 lava lamps with a production workforce of 350 employees. This year, it forecasts that 480,000 lava lamps will be made with a production workforce of 365 employees.

Calculate the percentage increase in annual labour productivity per worker between last year and this year's forecast.

(4)

Step 1: Apply the labour productivity formula to calculate the labour productivity for both years

$$\text{Labour Productivity last year} = \frac{424,000}{350} = 1,211 \text{ units per employee} \quad (2)$$

$$\text{Labour Productivity this year} = \frac{480,000}{365} = 1,315 \text{ units per employee}$$

Step 2: Calculate the percentage increase between last year and this year

$$\begin{aligned} &= \frac{(1,315 - 1,211)}{1,211} \times 100 \quad (2) \\ &= 8.59\% \end{aligned}$$

Labour turnover and retention

- Labour turnover measures the **proportion of employees leaving a business** during a **specific time period**
- It is expressed as a percentage and is calculated using the formula

$$\text{Labour Turnover} = \frac{\text{Number of Staff Leaving}}{\text{Average Number of Staff}} \times 100$$

- A rising rate of labour turnover can signal **internal human resource management problems**, such as:
 - Poor management**, leading to workers losing commitment
 - A **poor recruitment and selection** approach, leading to staff leaving soon after starting their job
 - Low wage levels** compared to those that could be earned elsewhere
- External factors** can also increase labour turnover in a business
 - A buoyant local economy in which **workers are attracted to employment opportunities elsewhere**
 - Improved **transport links** that provide an opportunity for workers to seek work across a **wider geographical area**

Consequences of high labour turnover

Problems	Opportunities
- Increased recruitment and selection costs - Increased induction and training costs - Lower productivity levels as workers settle into new roles	- Workers with existing skills can be recruited to reduce the need for training - New ideas and creativity introduced to the business - New perspective and approaches to problem-solving can improve business performance



Your notes



Worked Example

In 2022, *Domus Construction Ltd* employed an average of 7,200 workers, six per cent of whom worked at the head office.

During 2022, fifty-four head office employees left the business.

Calculate the labour turnover of Domus Construction's head office in 2022.

(3)

Step 1: Calculate the number of head office workers

$$\begin{aligned}
 &= 0.06 \times 7,200 \\
 &\quad (1) \\
 &= 432 \text{ workers}
 \end{aligned}$$

Step 2: Apply the labour turnover formula

$$\begin{aligned}
 \text{Labour turnover} &= \frac{\text{Number of staff leaving}}{\text{Average number of staff}} \times 100 \\
 &= \frac{54}{432} \times 100 \\
 &= 12.5\%
 \end{aligned}
 \quad (1)$$

Labour retention

- Labour retention measures the **proportion of employees remaining with a business** during a **specific time period**
- It is expressed as a percentage and is calculated using the formula

$$\text{Labour Retention} = \frac{\text{Number of Staff Remaining}}{\text{Average Number of Staff}} \times 100$$

- A **high level** of labour retention means that **few staff are leaving** the business during a given period



Worked Example

In 2022, the University of West Surrey employed an average of 4,240 employees, 265 of whom left the university during the year.

Calculate the University of West Surrey's staff retention rate in 2022.

(2)

Step 1: Calculate the number of employees not leaving

$$\begin{aligned}
 &= 4,240 - 265 \\
 &\quad (1) \\
 &= 3,975
 \end{aligned}$$

Step 2: Calculate the retention rate using the formula

$$\begin{aligned}
 \text{Labour Retention} &= \frac{\text{Number of Staff Remaining}}{\text{Average Number of Staff}} \times 100 \\
 &= \frac{3,975}{4,240} \times 100 \quad (1) \\
 &= 93.75\%
 \end{aligned}$$



Your notes

Absenteeism

- The absenteeism rate is a measure of the **proportion of staff who were absent from work** during a **specific period of time** (e.g. a day, week or month)
- It is expressed as a percentage and is calculated using the formula

$$\text{Absenteeism rate} = \frac{\text{Number of staff absent}}{\text{Number of staff employed}} \times 100$$

- **High levels** of absenteeism can cause several problems for a business, including:
 - Absence due to illness requires sick pay to be paid
 - Hiring temporary staff to cover for those absent **increases costs**
 - Output is likely to be temporarily reduced if staff are key to the production process
 - Other staff may become **demotivated** if they have to constantly cover for absent workers
 - A wider **culture of absenteeism** may develop



Worked Example

On January 16, twenty-two of *Belling Stoneworks Ltd*'s 189 employees were absent.
Calculate Belling Stoneworks Ltd's absenteeism rate on January 16.

(2)

Step 1: Substitute the values into the formula

$$\begin{aligned}\text{Absenteeism rate} &= \frac{\text{Number of staff absent}}{\text{Number of staff employed}} \times 100 \\ &= \frac{22}{189} \times 100 \\ &= 11.64\%\end{aligned}$$

(2)



Human resources strategies to improve employee performance

- Raising the **labour productivity rate**, as well as **reducing staff turnover and absenteeism rates**, are key **human resource management objectives**
 - Increased labour productivity will **lower the labour cost per unit** and contribute to **improved competitiveness**
 - **More output** will be produced, so there is more output to sell — potentially **increasing revenue**
 - Money is saved on **recruitment, selection and training costs**, and a positive **group spirit** may emerge

Strategies to improve employee performance

Strategy	Explanation
Offering financial rewards	▪ Examples of financial rewards include: ▪ Increased pay rates ▪ Profit-sharing schemes ▪ Bonuses and commissions ▪ Performance-related pay ▪ Attendance rewards ▪ Loyalty bonuses ▪ Paying workers more or sharing profits may increase commitment and effort, leading to higher output and productivity



Your notes

	▪ If financial rewards are greater than those of other employers, staff are less likely to want to leave ▪ Bonuses and commissions are only paid when they have been earned or if targets have been met ▪ Attendance and loyalty rewards may improve the intrinsic motivation of workers as they feel valued
Offering employees shares in the company	▪ Rewarding senior executives and managers with shares may increase their commitment to achieving objectives ▪ Employees who own shares in the business may work harder and take less time off as they have a financial stake in the success of the business
Consultation	▪ Consultation involves managers obtaining the views of employees when making decisions ▪ Workers are likely to feel more involved within the business and may be less likely to take days off work or leave the business
Empowerment	▪ Empowerment involves providing employees with autonomy and responsibility to make their own decisions and work on their own behalf ▪ Employee are encouraged to make use of their own knowledge and experience and develop their own solutions ▪ Workers must be properly trained and equipped with the necessary resources to be properly empowered ▪ Leaders need to be prepared to hand over authority and focus on providing encouragement praise and feedback